3. It is also decided to publish information regarding implementation of this policy by CPSEs in the Annual Public Enterprises Survey from 2012-13 onwards. Therefore, all CPSEs are required to submit the information for inclusion in the Annual Public Enterprises Survey.

4. Administrative Ministries/Departments are requested to ensure that suitable directions are issued to all CPSEs under their administrative control for effective implementation of this policy and an appropriate monitoring mechanism is set up to review its implementation. A confirmation on the action taken in this regard may also be sent to this Department.

[DPE O.M. No. DPE/7(4)/2007-Fin Dated 16th August, 2013]

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6. Relaxation of Norms for Start-ups Medium Enterprises in Public Procurement Regarding Prior Experience-Prior Turnover criteria - reg.

The undersigned is directed to enclose herewith a copy of the D/o Expenditure OM No.F.20/2/2014. PPD (pt.) dated 20th September, 2016 along with a copy of OM of even number dated 25th July, 2015 (with enclosure) on the above subject issued by Ministry of Finance, Department of Expenditure (Procurement Policy Division). All Ministries/Departments concerned are advised to direct their CPSEs to follow the directions mentioned therein for implementation.

This issues with the approval of Secretary, DPE.

Subject: Relaxation of Norms for Start-ups Medium Enterprises in Public Procurement Regarding Prior Experience-Prior Turnover criteria.

The undersigned is directed to refer to this Department O.M. of even number dated 25th July, 2016, wherein it was clarified that all Central Ministries/Departments *may* relax condition of prior turnover and prior experience in public procurement to all Start-ups [whether Micro & Small Enterprises (MSEs) or otherwise] subject to meeting of quality and technical specifications in accordance with the relevant provisions of GFR, 2005.

2. A doubt has arisen if it makes optional for Central Ministries/Departments to relax condition of prior experience and prior turnover in public procurement to Startups. In this regard, it is again clarified that normally for all public procurement, the Central Ministries/Departments have to ensure that criteria of prior turnover and prior experience for all Startups is relaxed subject to their meeting of quality and technical specification.

3. However, there may be circumstances (like procurement of items related to public safety, health, critical security operations and equipments, etc.) where procuring entities may prefer the vendors to have prior experience rather than giving orders to new entities. For such procurements, wherever adequate justification exists, the procuring entities may not relax the criteria of prior experience/turnover for the Startups.

4. This issues with the approval of Finance Secretary.

[D/o Expenditure No. F. 20/2/2014-PPD(Pt.) Dated 20th September, 2016]

Subject: Relaxation of Norms for Start-ups Medium Enterprises in Public Procurement Regarding Prior Experience-Prior Turnover criteria.

The Government of India has announced 'Startup India' initiative for creating a conducive ecosystem for the growth of Startups in India. The Startups are defined in **Annexure-A** of the "Action Plan for Startups India". The same is available on the website of Department of Industrial Policy and Promotion (DIPP), Ministry of Commerce & Industry.

2. Ministry of Micro, Small & Medium Enterprises (MSMEs) vide Policy Circular No. 1(2)(1)/2016-MA dated 10th March, 2016 has clarified that all Central Ministries/Departments/Central Public Sector Undertakings (CPSUs) may relax condition of prior turnover and prior experience with respect of Micro & Small Enterprises (MSEs) in all public procurements subject to meeting of quality and technical specifications.

3. As per Rule 160(i)(a) of GFR, 2005, there is already a provision that the bidding document should contain criteria for eligibility and qualification to be met by the bidders such as minimum level of experience, past performance, technical capability, manufacturing facilities and financial position etc. In view of above, it is further clarified that all Central Ministries/Departments may relax condition of prior turnover and prior experience in public procurement to all Startups (whether MSEs or otherwise) subject to meeting of quality and technical specifications in accordance with the relevant provisions of GFR, 2005.

[D/o Expenditure No. F/20//2014-PPD(Pt.) Dated 25th July, 2016]

Please find enclosed a Policy Circular of even no dated 10th March, 2016 relating to Relaxation of Norms for Startups and Micro & Small Enterprises in Public Procurement on Prior Experience ð Prior Turnover criteria.

Publication Division is requested to take up the matter with Public Information Bureau to place this Policy Circular on the public domain.

[MSME F. No. 1(2)(1)/2014-MA Part Dated 10th March, 2016]

Subject: Relaxation of Norms for Startups and Micro & Small Enterprises in Public Procurement on Prior Experience - Prior Turnover criteria.

(1) The Government of India has notified Public Procurement Policy for Micro and Small Enterprises (MSEs) Order 2012 with effect from 1st April, 2012 and 20% procurement from Micro & Small Enterprises of the total procurement by Central Ministries/Departments/CPSUs has become mandatory with effect from 1st April, 2015.

(2) The Government of India has announced 'Startup India' initiative for creating a conducive environment for Startups in India.

(3) The Startups are normally Micro and Small Enterprises which may not have a track record. These will have technical capability to deliver the goods and services as per prescribed technical & quality specifications, and may not be able to meet the qualification criterion relating to prior experience-prior turnover.

(4) In exercise of Para 16 of Public Procurement Policy for Micro and Small Enterprises Order 2012, it is clarified that all Central Ministries/Departments/Central Public Sector Undertakings may relax condition of prior turnover and prior experience with respect to Micro and Small Enterprises in all public procurements subject to meeting of quality and technical specifications.

(5) This issues with the approval of Union Minister of Micro, Small and Medium Enterprises.

[MSME F. No. 1(2)(1)/2016-MA Dated 10th March, 2016]

[No. DPE/7(4)/2007-Fin Dated 8th November, 2016]

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